Theory 2 Changelog

This file tracks successive revisions of Theory 2 ("Inventory/execution reset") as new evidence is reviewed. Each entry is dated and states whether the revision is materially different from prior versions.

2026-07-24 — Revision 1 (post-validation)

Context: First revision, following a validation pass against available evidence (see `work_products/issue1/theory` for full reasoning). No prior version of Theory 2 exists in this file, so this is the baseline entry.

Theory 2 (updated): Execution fixes are real but insufficient and slow — not a 2–4 quarter inflection

What changed from the original Theory 2: The original thesis was a compound claim: (a) the Americas problem is primarily supply-side/operational (SKU density, replenishment speed, product-development cycle), and (b) management's already-disclosed fixes resolve it within 2–4 quarters, with comps flat-to-positive by Q1–Q2 FY2027. Validation against subsequently-reviewed evidence (`work_products/issue1/theory2_validation.md`) leaves part (a) partially supported but rejects part (b):

- **Diagnosis, partially supported:** The SKU/Chase/product-cycle initiatives are real and already producing internal effects (SKU density -15%, Chase volume +20% YoY, dev cycle down to 15–16 months, inventory units -4% YoY), and an independent, dated (July 2026) Jefferies channel check corroborates that in-store merchandising is genuinely improving. China/RoW growth (+13–20%+) shows the core product is not universally rejected. But the same body of evidence used to validate Theory 1 (April 2026 foot-traffic share loss to Alo Yoga/Vuori, January 2026 brand-favorability survey decline, Piper Sandler teen-survey data) shows a real, independently-sourced demand-side/competitive-share-loss component running in parallel — meaning the problem is not *primarily* supply-side, as the original theory claimed, but a mix.
- **Timeline, rejected:** The theory's specific, falsifiable claim — a 2–4 quarter inflection — fails every test available. The one direct empirical check (Jefferies' own July 2026 note) found assortment improving while its own tracked consumer-demand metrics (purchase consideration, foot traffic) kept weakening in the same window, which is direct evidence against "fix the supply side and demand follows quickly." Jefferies itself, the most sympathetic informed voice to the execution-fix thesis, describes the path back as "gradual" and "multi-quarter," not a 2–4 quarter inflection. Peer apparel-turnaround base rates (Abercrombie & Fitch, Old Navy/Gap, Chico's FAS, American Eagle, Under Armour) show no comparable turnaround — including ones with a genuinely execution-driven diagnosis — inflecting that fast; most took 2–6 years, and Under Armour never durably inflected. Management's own Q2/full-year FY2026 guidance embeds continued deterioration, not a near-term trough-and-recover pattern.

Updated thesis statement: The operational fixes are real, underway, and probably necessary, but the evidence does not support them being sufficient or fast. A more accurate version of this theory: execution improvements (assortment, SKU discipline, faster chase) continue and gradually reduce markdown drag and improve product quality over a multi-year (not multi-quarter) horizon, but a full V-shaped recovery back to FY2023–FY2024 growth rates is unlikely because part of the Americas decline has an independently-evidenced demand-side/competitive-share-loss component (documented in `theory1_validation.md`) that a supply-side fix alone does not resolve. Even in the best case where execution keeps improving as Jefferies' checks suggest, the realistic outcome looks like a slow stabilization at a lower base rather than a return to prior growth — which is closer to Theory 3's outcome than to the original Theory 2's outcome.

Is this materially different from another theory in this file? No — not materially. Once the "fast, 2–4 quarter, execution-is-sufficient" claim is corrected against the evidence, this updated Theory 2 converges on essentially the same forecast as updated Theory 1 and original Theory 3: a multi-year, partial stabilization at a structurally lower Americas base, with China/RoW carrying growth. The remaining distinction is mechanism/emphasis rather than outcome — updated Theory 1 emphasizes competitive share transfer to Alo Yoga/Vuori/NikeSKIMS as the binding constraint, original Theory 3 emphasizes market maturation/saturation as the binding constraint, and this updated Theory 2 emphasizes that management's operational levers are real and working on the margin but are simply not powerful or fast enough to overcome whichever of those two constraints dominates. Given the outcome (multi-year, bounded, lower-base stabilization) is now shared across all three theories, this is best read as convergence rather than three genuinely distinct scenarios — the residual disagreement is about which lever (competition vs. maturation vs. execution pace) is most responsible for the shared outcome, which matters for judging how much a strong CEO can still move the needle but not for the base-rate valuation call.

Probability assessment: See `work_products/issue1/theory2_validation.md` — Probability of the original Theory 2 (as stated in `theories.md`) being correct: 10%.